





## Consolidated Sub-Group Financial Statements 1998

## Telekom Austria AG

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## Management Report for the 1998 Business Year of the Telekom Austria Sub-Group

### **1 The Spin-off of Telekom Austria AG as well as the completed Reorganizations**

The enterprise Telekom Austria AG in the past year has found a new, separate identity through its legal independence as a stock corporation. The spin-off also was a pre-condition to the selection of a strategic partner which took place parallel thereto. Telekom Austria AG continues the entire business of the previous Telecommunications Division of Post and Telekom Austria AG. The participating interests in Mobilkom Austria AG and Datakom, which has been converted from a stock corporation into a limited liability corporation in the course of the reorganization, now also belong to the Telekom Austria Group.

The taking in of STET International Netherlands NV as an internationally experienced strategic partner which acquired 25% plus one share of the share capital of Telekom Austria AG, has created the opportunity for an independent positioning of Telekom Austria AG as against the competitors in Austria, and on the international markets.

## 2 Business Development in the 1998 Business Year

Telekom Austria AG, on an international scale, is a relatively small market participant, and, since the liberalization of the telecommunications market in Austria, is exposed to the competition of large international businesses. Competition requires that the economic efficiency be increased quickly to an internationally comparable level. Only in this manner can the aim of offering the customers top service at competitive prices be reached, and the requirements of international investors in the context of a planned initial public offer (IPO) be satisfied.

In the first year of liberalization of the Austrian market, it was necessary to implement the measures towards a competitive orientation introduced in the short period since the PTA spin-off, in addition to the parallel processes of the spin-off and the partner selection. In sub-markets developing with particularly dynamic force, such as, for example, mobile communications and data services, the subsidiaries Mobikom Austria AG and Datakom Austria AG provide for strategic flexibility within the corporate group. Market opportunities can thereby be realized selectively.

Telekom Austria AG with its subsidiaries today presents itself as the only full-service provider of telecommunications services in Austria, and offers a comprehensive range of products and services to domestic and business customers. The main emphasis of market communications has rested on the special status of Telekom Austria as the only full-service provider for all customer groups, the wealth of many years of experience, the reliability as well as the special responsibility as provider of the universal service.

The full liberalization of the telecommunications market commenced in Austria as of January 1, 1998, on the basis of the "Telekommunikationsgesetz" (Telecommunications Act – TKG). The TKG and the regulations passed pursuant thereto provide for, besides other matters, the facilitated market access of alternative providers in the context of an intentionally asymmetrical regulation, the prohibition of cross subsidization, the obligation to provide the universal service as well as the conditions regarding the interconnection of networks.

The decisions of the "Telekom Control Kommission" with respect to interconnection have significantly shaped the year 1998. They constitute the core of the evaluation of the market and regulatory situation after one year. At first, the charges for the termination of calls in the network of Telekom Austria were determined in March of 1998: for connections from other Austrian fixed or mobile networks terminating with subscribers, Telekom Austria receives ATS 0.25 respectively 0.33 (respectively per minute).

In October of 1998, the Telekom Control Kommission determined the charges for originating traffic, i. e. the amount which Telekom Austria receives for transporting calls over its lines to the carrier network of an alternative operator. Due to reasons of competition policy, especially in order to force ahead the development of the own infrastructure by the competitors, these rates have been fixed at a higher level than in case of termination, that is, ATS 0.28 (in case of transiting one regional switch) and ATS 0.55 (in case of transiting two regional switches).

The successful presence on the aggressive telecommunications market is the most urgent task of the management of the telecom group, in view of the strongly growing number of competitors. The competitors on the telecom market, which have built up the appropriate know-how by taking in strong international partners, attempt to gain market shares in particular with large and business customers.

The Austrian mobile telecommunications market has been booming now unchanged for several years. Despite another award of a license by the Republic of Austria, Mobilkom Austria AG has been able to clearly confirm its pioneer role both as technology leader as well as also as market leader in this segment. In the 1998 business year, the essential management task of positioning the products concerned consistently and optimally on the strongly contested market has been fulfilled satisfactorily.

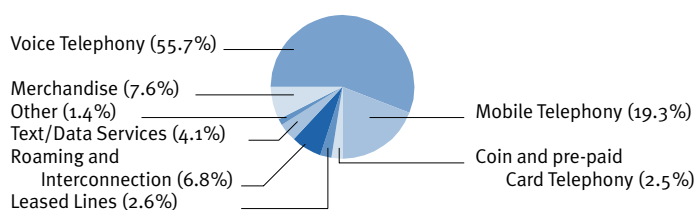
Datakom Austria GmbH today is Austria's leading and most comprehensive provider of data communications solutions. Through technological competence and solution-oriented thinking, the enterprise has been able to maintain the market leadership also in this market segment which has been exposed to competition for years. Management considers the provision of business-wide networks, in the sense of an all-inclusive solution

for the customer concerned, its most urgent tasks.

The consolidated turnover of the Telecom Sub-Group in 1998 amounted to TATS 46,585,098. It is composed essentially of the following:

|                              | ATS thousands<br>(TATS) |
|------------------------------|-------------------------|
| Voice Telephony              | 25,988,325              |
| Mobile Telephony             | 9,026,786               |
| Coin and pre-paid            |                         |
| Card Telephony               | 1,199,713               |
| Leased Lines                 | 1,215,552               |
| Roaming and Inter-connection | 3,160,864               |
| Text/Data Services           | 1,906,038               |
| Merchandise                  | 3,575,268               |
| Other                        | 667,116                 |
| - Revenue Curtailment        | -154,564                |
|                              | <b>46,585,098</b>       |

**Breakdown of sales –  
Telekom Austria Sub-Group**



In the 1998 business year, Telekom Austria AG again remained the dominating market leader, despite the already existing competition in the fixed network.

The Austrian telephone network at the end of 1998 reached a rate of penetration of approximately 50% (related to total population including ISDN channels), of which approximately 92% are already connected to digital exchanges. This provides customers with access to many additional features (such as, for example, call forwarding or call waiting), and markedly improves the transmission quality.

Mobilkom Austria AG has succeeded in maintaining its position as market leader in the strongly growing segment of mobile telephony, and, at year's end, had more than 1,280,000 subscribers in the digital mobile network A1, which corresponds to an increase of more than 86%. At the end of the year, the degree of coverage in the A1 network amounted to 97%. This was achieved with 2,657 base stations. Despite the hard price competition on the Austrian mobile telecommunications market, Mobilkom Austria succeeded in the past business year to consistently position its products, in particular the premium brand A1, as leader in technology and quality. In 1998, Mobilkom, as the first Austrian mobile radio provider, brought convergent products to the market. With A1-PocketNet, customers are able to access the Internet both via the mobile phone as well as with the fixed network. The successful course of the pre-paid cards offered by Mobilkom continues its steep climb. B-Free, the pre-paid card mobile phone in the A1 network, registered 397,000 new subscribers in 1998.

Datakom Austria AG is the market leader in Austria with data services and network solutions. The past business year has been highlighted by an increasing customer demand for networking and information procurement. Business-wide networks, so-called "Corporate Networks", currently constitute Datakom's largest potential for growth.

A swift expansion of the WAN (Wide Area Network) is the basis of Datakom's efforts to firm up its position as market leader. In 1998, operations were commenced at 30 additional sites for the protocol-oriented service DX FR (Dataswitch Frame Relay).

### Operating Results

|                      | in TATS   |
|----------------------|-----------|
| Telekom Austria AG   | 8,100,749 |
| Mobilkom Austria AG  | 3,086,230 |
| Datakom Austria GmbH | 316,192   |

### 3 Result

The individual corporations of the Telecom Sub-Group have contributed to the operating result in the amount of TATS 11,456,736, as follows: A net operating margin of 24.6% was attained in the 1998 business year.

The financial result of the Telecom Sub-Group is strongly shaped by the debts assumed with the spin-off from the federal household. Thus, the negative interest result burdens the income statement with the amount of TATS 2,971,349.

The result from ordinary business activities amounted to TATS 8,521,558.

In the 1998 business year, the Telecom Sub-Group had annual earnings of TATS 6,260,765.

#### **4 Investments and financial Position**

The capital investment volume in the Telecom Sub-Group in the 1998 business year amounted to TATS 12,577,147. Of this amount, TATS 12,406,857 were allocated to intangible assets and property, plant and equipment, and TATS 170,290 to financial assets.

During the period under review, the main emphasis regarding investments was placed on line and switching technology and mobile radio telecommunications. The development of the fiber optics network proceeded according to schedule. The investments in switching technology concerned essentially the digitalization of the network, which is to be completed entirely by the year 1999. The number of A1 base stations was increased by 561 to 2,657.

In the 1998 business year, the Telecom Sub-Group earned cash-flows from the result in the amount of TATS 19,923,068. The Telecom Sub-Group used these funds, besides the capital investments above described, for the retirement of financial liabilities. The liabilities to banks and from bonds were reduced in total by TATS 5,483,900, that is 10.9%, as against the previous year.

As of December 31, 1998, the equity ratio of the Telecom Sub-Group amounted to approximately 43.6% (prior to the distribution of the dividend for the 1998 business year).

#### **5 Research and Development**

By reason of the range of activities, numerous initiatives in the area of research and development were carried out in the Telecom Sub-Group. The group cooperated with the most important players in industry and business, and is participating in projects at the national, European and international levels.

The positioning of Telekom Austria in the research and technology programs of the European Union was a very important success factor. The further development and the application of new technologies and infrastructure components was advanced in the context of the ACTS (Advanced Communication Technologies and Services) comprising numerous projects. These include the PHOTON (Pan-European Photonic Transport Overlay Network) project for new dimensions of data transmission, and the JAMES (Joint ATM Experiment on European Services) project for the establishment of a European-wide ATM-network. Telekom Austria coordinated the establishment of a trial network in connection with the work toward a global standard for Internet telephony (TIPHON project) in connection with the Transeuropean Networks for Telecommunications and ETSI (European Telecommunications Standardization Institute). At the national level, alongside the research, new technologies such as ADSL, Internet telephony and the digital signature were tested in pilot tests and during practical application, and the required experience for a nation-wide deployment was collected. In the sector of the digital signature, Datakom was able to establish itself as a certifying body.

## 6 Personnel

In 1998, the Telekom Austria Group employed, at an annual average, 19,425 personnel corresponding to 18,720 full-time positions. The share of civil servants amounted to 76.9%. The ratio of women was situated at 27%. During the 1998 business year, 268 apprentices and 714 part-time employees were employed on average.

1,277 personnel were allocated to Mobilkom, Datakom employed 760 personnel on average. The rationalization measures to reduce the number of personnel have been swiftly continued with pre-retirement and severance allowance schemes.

## **Consolidated Sub-Group Financial Statements of Telekom Austria**

- **Consolidated Sub-Group Income Statement for 1998**
- **Consolidated Sub-Group Balance Sheet as of December 31, 1998**
- **Consolidated Sub-Group Statement of Cash-flows**
- **Development of the Consolidated Sub-Group Fixed Assets**

**Consolidated Sub-Group Income Statement  
for the 1998 Business Year  
Telekom Austria AG**

|                                                                                  | Jan 1 – Dec 31,<br>1998<br>ATS 1,000 |
|----------------------------------------------------------------------------------|--------------------------------------|
| 1. Turnover                                                                      | 46,585,098                           |
| 2. Change in inventory and work in progress                                      | 2,887                                |
| 3. Other capitalized own work                                                    | 1,923,260                            |
| 4. Other operating income                                                        | 1,578,594                            |
| 5. Cost of material and services purchased                                       | -8,359,265                           |
| 6. Personnel expenses                                                            | -9,581,340                           |
| 7. Depreciation and amortization                                                 | -13,158,755                          |
| 8. Other operating expenses                                                      | -7,533,743                           |
| <b>9. Subtotal from lines 1 to 8</b>                                             | <b>11,456,736</b>                    |
| 10. Income from participating interests                                          | 24,258                               |
| 11. Income from other securities and loans<br>forming part of financial assets   | 9,596                                |
| 12. Other interest and similar income                                            | 331,710                              |
| 13. Income from retirement of financial assets<br>and current assets' securities | 4,644                                |
| 14. Expenses arising from financial assets and<br>current assets' securities     | -2,327                               |
| 15. Interest and similar expenses                                                | -3,303,059                           |
| <b>16. Subtotal from lines 10 to 15</b>                                          | <b>-2,935,178</b>                    |
| <b>17. Result from ordinary business activities</b>                              | <b>8,521,558</b>                     |
| 18. Taxes on income                                                              | -2,260,793                           |
| <b>19. Net income for the year</b>                                               | <b>6,260,765</b>                     |
| 20. Minority interest                                                            | -482,567                             |
| 21. Allocation to retained earnings                                              | -2,017,104                           |
| 22. Profit carried forward                                                       | 4,810,607                            |
| <b>23. Consolidated retained earnings</b>                                        | <b>8,571,701</b>                     |

**Consolidated Sub-Group Balance Sheet**  
**as of December 31, 1998**  
**Telekom Austria AG**

| <b>Assets</b>                                                                                      | <b>Dec 31, 1998<br/>ATS 1,000</b> | <b>Dec 31, 1997<br/>ATS 1,000</b> |
|----------------------------------------------------------------------------------------------------|-----------------------------------|-----------------------------------|
| <b>A. Fixed Assets</b>                                                                             |                                   |                                   |
| <b>I. Intangible Assets</b>                                                                        |                                   |                                   |
| 1. Licenses, industrial property rights and similar rights                                         | 4,270,495                         | 4,238,227                         |
| 2. Goodwill                                                                                        | 8,229,457                         | 8,903,359                         |
| 3. Prepayments                                                                                     | 264,674                           | 127,083                           |
|                                                                                                    | <b>12,764,626</b>                 | <b>13,268,669</b>                 |
| <b>II. Property, plant and equipment</b>                                                           |                                   |                                   |
| 1. Land and equivalent rights, and buildings<br>including buildings on land owned by third parties | 8,291,488                         | 8,536,329                         |
| 2. Technical facilities and machinery                                                              | 68,526,036                        | 68,988,829                        |
| 3. Other facilities, plant and office equipment                                                    | 1,662,798                         | 1,776,075                         |
| 4. Prepayments and construction in progress                                                        | 3,503,115                         | 4,963,242                         |
|                                                                                                    | <b>81,983,437</b>                 | <b>84,264,475</b>                 |
| <b>III. Financial assets</b>                                                                       |                                   |                                   |
| 1. Participating interests in associated enterprises                                               | 7,692                             | 512                               |
| 2. Long term loans to associated enterprises                                                       | 87,959                            | 0                                 |
| 3. Other participating interests                                                                   | 79,587                            | 90,284                            |
| 4. Securities and similar rights                                                                   | 132,738                           | 107,305                           |
| 5. Other long term loans                                                                           | 26,288                            | 47,928                            |
|                                                                                                    | <b>334,264</b>                    | <b>246,029</b>                    |
|                                                                                                    | <b>95,082,327</b>                 | <b>97,779,173</b>                 |
| <b>B. Current assets</b>                                                                           |                                   |                                   |
| <b>I. Inventory</b>                                                                                |                                   |                                   |
| 1. Raw materials and supplies                                                                      | 1,210,411                         | 146,860                           |
| 2. Finished goods and merchandize                                                                  | 548,217                           | 1,387,075                         |
| 3. Work in progress                                                                                | 2,887                             | 0                                 |
| 4. Prepayments                                                                                     | 3,776                             | 3,788                             |
|                                                                                                    | <b>1,765,291</b>                  | <b>1,537,723</b>                  |
| <b>II. Receivables and other assets</b>                                                            |                                   |                                   |
| 1. Trade accounts receivable                                                                       | 8,905,164                         | 7,965,673                         |
| 2. Receivables from group enterprises                                                              | 4,511,411                         | 396,072                           |
| 3. Receivables from affiliated enterprises                                                         | 100,368                           | 14,756                            |
| 4. Other receivables and assets                                                                    | 2,264,602                         | 2,720,499                         |
|                                                                                                    | <b>15,781,545</b>                 | <b>11,097,000</b>                 |
| <b>III. Marketable securities and participating interests</b>                                      |                                   |                                   |
| Other securities and participating interests                                                       | <b>53,630</b>                     | <b>45,603</b>                     |
| <b>IV. Cash, cheques and bank accounts</b>                                                         | <b>24,958</b>                     | <b>33,234</b>                     |
|                                                                                                    | <b>17,625,424</b>                 | <b>12,713,560</b>                 |
| <b>C. Prepaid expenses and deferred charges</b>                                                    | <b>289,277</b>                    | <b>305,893</b>                    |
|                                                                                                    | <b>112,997,028</b>                | <b>110,798,626</b>                |

| Shareholders' equity and liabilities                                    | Dec. 31, 1998<br>ATS 1,000 | Dec. 31, 1997<br>ATS 1,000 |
|-------------------------------------------------------------------------|----------------------------|----------------------------|
| <b>A. Shareholders' equity</b>                                          |                            |                            |
| <b>I. Capital stock</b>                                                 | <b>15,000,000</b>          | <b>15,000,000</b>          |
| <b>II. Additional paid-in capital</b>                                   | <b>16,226,705</b>          | <b>16,226,705</b>          |
| <b>III. Reserves from retained earnings</b>                             | <b>5,946,621</b>           | <b>3,929,517</b>           |
| <b>IV. Minority Interest</b>                                            | <b>3,527,849</b>           | <b>3,207,939</b>           |
| <b>V. Consolidated retained earnings/-deficit</b>                       | <b>8,571,701</b>           | <b>7,610,607</b>           |
|                                                                         | <b>49,272,876</b>          | <b>45,974,768</b>          |
| <b>B. Accruals</b>                                                      |                            |                            |
| 1. Accruals for severance payments                                      | 176,839                    | 158,570                    |
| 2. Accruals for pensions                                                | 145,181                    | 122,652                    |
| 3. Accruals for taxes                                                   | 2,336,871                  | 1,674,970                  |
| 4. Other accruals                                                       | 5,488,160                  | 5,912,110                  |
|                                                                         | <b>8,147,051</b>           | <b>7,868,302</b>           |
| <b>C. Liabilities</b>                                                   |                            |                            |
| 1. Bonds                                                                | 7,216,672                  | 8,915,904                  |
| 2. Liabilities to banks                                                 | 37,588,855                 | 41,373,523                 |
| 3. Advances received                                                    | 6,110                      | 1,105                      |
| 4. Trade accounts payable                                               | 5,256,366                  | 5,329,884                  |
| 5. Liabilities toward group enterprises                                 | 3,555,746                  | 12,361                     |
| 6. Other liabilities                                                    | 1,033,104                  | 1,190,854                  |
|                                                                         | <b>54,656,853</b>          | <b>56,823,631</b>          |
| <b>D. Deferred income and accrued expenses</b>                          | <b>920,248</b>             | <b>131,925</b>             |
|                                                                         | <b>112,997,028</b>         | <b>110,798,626</b>         |
| Liabilities from guarantees<br>as well as other contractual liabilities | 2,462,584                  | 0                          |

## Consolidated Sub-Group Statement of Cash-flows

|                                                      | 1998<br>ATS 1,000 |
|------------------------------------------------------|-------------------|
| Net income                                           | 6,260,766         |
| Depreciation and amortization                        | 13,158,755        |
| Depreciation of financial assets                     | 1,453             |
| Allocation to accrual for anniversary bonus payments | 41,820            |
| Allocation to accrual for severance payments         | 18,269            |
| Allocation to accrual for pensions                   | 22,530            |
| Change to the accrual for the social plan            | -168,608          |
| Book value of retired assets                         | 848,660           |
| <b>Cash-flows-balance sheet</b>                      | <b>20,183,645</b> |
| Income from the retirement of fixed assets           | -50,176           |
| Expenses from the retirement of fixed assets         | 638,258           |
| Book value of retired fixed assets                   | -848,659          |
| <b>Result from the retirement of fixed assets</b>    | <b>-260,577</b>   |
| <b>Cash-flows from the result</b>                    | <b>19,923,068</b> |
| <b>Assets (decrease +, increase -)</b>               |                   |
| Inventory                                            | -227,568          |
| Trade accounts receivable                            | -939,491          |
| Receivables from group enterprises                   | -1,761,464        |
| Receivables from affiliated enterprises              | -85,612           |
| Other assets                                         | 219,655           |
| <b>Liabilities (decrease -, increase +)</b>          |                   |
| Provision for taxation                               | 661,901           |
| Other short-term accruals                            | -297,164          |
| Trade accounts payable                               | -73,518           |
| Liabilities to group enterprises                     | 1,238,202         |
| Liabilities to affiliated enterprises                | 0                 |
| Other liabilities                                    | 635,577           |
| <b>Changes in working capital</b>                    | <b>-629,482</b>   |
| <b>Cash-flows from operating activities</b>          | <b>19,293,586</b> |

|                                                                        | 1998<br>ATS 1,000  |
|------------------------------------------------------------------------|--------------------|
| Capital expenditures (Capex)                                           | -798,795           |
| Capital expenditures for property, plant and equipment                 | -11,608,062        |
| Capital expenditures for financial assets<br>(participating interests) | -122,205           |
| Net change in fixed assets' securities and loans                       | -26,121            |
| Result from the retirement of fixed assets                             | 260,577            |
| <b>Cash-flows from investment activities</b>                           | <b>-12,294,606</b> |
| <b>Assets (decrease +, increase -)</b>                                 |                    |
| Receivables from group enterprises                                     | -48,692            |
| <b>Liabilities (decrease -, increase +)</b>                            |                    |
| Bonds                                                                  | -1,699,232         |
| Liabilities to banks (short-term)                                      | 3,587,973          |
| Liabilities to banks (long-term)                                       | -7,372,641         |
| Distributions to shareholders                                          | -2,970,006         |
| Third party contributions                                              | 7,350              |
| <b>Cash-flows from financing activities</b>                            | <b>-8,495,248</b>  |
| Depreciation of capitalized refundable input taxes                     | 1,243,161          |
| Receipts from the refund of input taxes 1998/1997                      | 1,225,201          |
| Receipts following years                                               | -972,343           |
| <b>Cash-flows from VAT adjustment</b>                                  | <b>1,496,019</b>   |
| <b>Change in cash</b>                                                  | <b>-249</b>        |

**Development of the Consolidated  
Sub-Group Fixed Assets**

| ATS 1,000                                                                                          | Acquisition/<br>production costs<br>Jan 1, 1998 | Additions         | Dispositions     |  |
|----------------------------------------------------------------------------------------------------|-------------------------------------------------|-------------------|------------------|--|
| <b>I. Intangible assets</b>                                                                        |                                                 |                   |                  |  |
| 1. Licenses, industrial property rights and similar rights                                         | 4,956,230                                       | 661,204           | 81,902           |  |
| 2. Goodwill                                                                                        | 10,021,705                                      | 0                 | 0                |  |
| 3. Prepayments                                                                                     | 127,083                                         | 137,591           | 0                |  |
|                                                                                                    | <b>15,105,018</b>                               | <b>798,795</b>    | <b>81,902</b>    |  |
| <b>II. Property, plant and equipment</b>                                                           |                                                 |                   |                  |  |
| 1. Land and equivalent rights, and buildings including<br>buildings on land owned by third parties | 9,350,798                                       | 330,477           | 136,979          |  |
| 2. Technical facilities and machinery                                                              | 85,233,966                                      | 7,569,388         | 2,534,822        |  |
| 3. Other facilities, plant and office equipment                                                    | 2,664,961                                       | 936,208           | 398,025          |  |
| 4. Prepayments and construction in progress                                                        | 4,963,242                                       | 2,771,988         | 4,183            |  |
|                                                                                                    | <b>102,212,967</b>                              | <b>11,608,061</b> | <b>3,074,009</b> |  |
| <b>III. Financial Assets</b>                                                                       |                                                 |                   |                  |  |
| 1. Participating interests in associated enterprises                                               | 512                                             | 7,180             | 0                |  |
| 2. Long term loans to associated enterprises                                                       | 0                                               | 87,959            | 0                |  |
| 3. Other participating interests                                                                   | 90,312                                          | 23,520            | 34,217           |  |
| 4. Securities and similar rights                                                                   | 107,310                                         | 55,203            | 29,082           |  |
| 5. Other long term loans                                                                           | 54,596                                          | 3,546             | 26,769           |  |
|                                                                                                    | <b>252,730</b>                                  | <b>177,408</b>    | <b>90,068</b>    |  |
|                                                                                                    | <b>117,570,715</b>                              | <b>12,584,264</b> | <b>3,245,979</b> |  |

| Reclassifications | Acquisition/<br>production costs<br>Dec 31, 1998 | Depreciation<br>(cumulative) | Book value<br>Dec 31, 1998 | Book value<br>Dec 31, 1997 | Depreciation<br>during the busi-<br>ness year 1998 |
|-------------------|--------------------------------------------------|------------------------------|----------------------------|----------------------------|----------------------------------------------------|
| 1,566             | 5,537,098                                        | 1,266,603                    | 4,270,495                  | 4,238,227                  | 627,192                                            |
| 0                 | 10,021,705                                       | 1,792,248                    | 8,229,457                  | 8,903,359                  | 673,902                                            |
| 0                 | 264,674                                          | 0                            | 264,674                    | 127,083                    | 0                                                  |
| <b>1,566</b>      | <b>15,823,477</b>                                | <b>3,058,851</b>             | <b>12,764,626</b>          | <b>13,268,669</b>          | <b>1,301,094</b>                                   |
| 42,004            | 9,586,300                                        | 1,294,812                    | 8,291,488                  | 8,536,329                  | 482,981                                            |
| 4,341,272         | 94,609,804                                       | 26,083,768                   | 68,526,036                 | 68,988,829                 | 10,722,424                                         |
| -156,910          | 3,046,234                                        | 1,383,436                    | 1,662,798                  | 1,776,075                  | 652,256                                            |
| -4,227,932        | 3,503,115                                        | 0                            | 3,503,115                  | 4,963,242                  | 0                                                  |
| <b>-1,566</b>     | <b>110,745,453</b>                               | <b>28,762,016</b>            | <b>81,983,437</b>          | <b>84,264,475</b>          | <b>11,857,661</b>                                  |
| 0                 | 7,692                                            | 0                            | 7,692                      | 512                        | 0                                                  |
| 0                 | 87,959                                           | 0                            | 87,959                     | 0                          | 0                                                  |
| 0                 | 79,615                                           | 28                           | 79,587                     | 90,284                     | 0                                                  |
| 0                 | 133,431                                          | 693                          | 132,738                    | 107,305                    | 689                                                |
| 0                 | 31,373                                           | 5,085                        | 26,288                     | 47,928                     | 764                                                |
| <b>0</b>          | <b>340,070</b>                                   | <b>5,806</b>                 | <b>334,264</b>             | <b>246,029</b>             | <b>1,453</b>                                       |
| <b>0</b>          | <b>126,909,000</b>                               | <b>31,826,673</b>            | <b>95,082,327</b>          | <b>97,779,173</b>          | <b>13,160,208</b>                                  |

# Notes to the Consolidated Financial Statements of the Telekom Austria Sub-Group

## 1 General Remarks

Telekom Austria AG was formed by the spin-off of the Postal Service and Postal Transport Divisions from the former Post und Telekom Austria AG, with retroactive effect, having regard to accounting, as of January 1, 1998.

The corporation is a fully consolidated group enterprise of the group of companies of Post and Telekom Austria AG. The present consolidated financial statements were prepared voluntarily.

## 2 Accounting and valuation principles

The consolidated financial statements were prepared having regard to generally accepted accounting principles, having regard to the general rule that, as much as possible, an accurate picture of the company's assets and the financial and earning position is to be presented.

The accounting and valuations were carried out in accordance with the accounting provisions of the "Handelsgesetzbuch" (Commercial Code) as amended by the "EU-Gesellschaftsrechtsänderungsgesetz 1996" (EU Corporate Law Amendment Act 1996).

The income statement was prepared in accordance with the total cost method. To improve the clarity of presentation, individual items in the balance sheet and the income statement have been summarized. The summarized items are shown in the Notes.

All figures are shown in thousands of Austrian Schillings (ATS, or ATS 1,000), unless otherwise stated. The balance sheet date of all fully consolidated enterprises is December 31.

The financial statements of all enterprises included in the partial consolidation have been prepared on the basis of unified accounting and valuation principles within the Group.

### Fixed assets

The intangible assets are valued at acquisition cost, less regular amortization on a straight-line basis based on a useful life (depending on the term of the agreement concerned) between 4 and 30 years.

A period of 15 years has been chosen for the useful life of the license of Mobilkom AG (the right to operate the reserved telecommunications service in the digital cellular mobile radio range GSM).

A period of 15 years has been chosen for the useful life of goodwill, having regard to the provisions of sec. 203 para. 5 Commercial Code.

Property, plant and equipment are valued at acquisition cost or production cost less regular depreciation. The production costs of self-developed assets include in addition to direct costs also prorated overhead, but no social expenditures as defined by sec. 203 para. 3 Commercial Code, nor directly attributable interest on debt paid to third parties.

Regular depreciation is calculated on a straight-line basis based on the useful lives and depreciation rates, as follows:

|                                                        | Useful life<br>in years | Depreciation<br>rate in % |
|--------------------------------------------------------|-------------------------|---------------------------|
| buildings                                              | 20–50                   | 2–5                       |
| technical facilities and<br>above ground structures    | 4–20                    | 5–25                      |
| tools, measuring instruments and<br>monitoring devices | 5–10                    | 10–20                     |
| EDP equipment                                          | 3–10                    | 10–33                     |
| Vehicle fleet                                          | 4–8                     | 12.5–25                   |
| Social and office furnishings                          | 10                      | 10                        |
| Office equipment and other<br>small machines           | 5                       | 20                        |

Low value assets (unit acquisition cost of less than 5,000 ATS) are depreciated completely in the year of acquisition. They are shown as additions and disposals in the Development of Fixed Assets. Furniture and fixtures in offices and customer service areas, as well as office equipment of Telekom Austria AG, were entered in the opening balance sheet of Post und Telekom Austria AG as of May 1, 1996, at a fixed value which remained unchanged during the business year.

Extraordinary depreciation in the amount of TATS 52,192 was taken from property, plant and equipment during the business year.

With the conclusion of three purchase agreement dated August 24, 1998, Telekom Austria AG sold digital switching facilities to Wilmington Trust Company, Delaware, at a purchase price of USD 175.3 million. These assets subsequently were leased back by Telekom Austria AG on the basis of three leasing agreements. Telekom Austria AG was granted the right to repurchase the leased assets at a contractually determined price after the expiry of ten years.

The transactions are shown in the financial statements in the form, that the resulting net cash value advantage in the amount of USD 7.7 million is shown under the deferred income and accrued expenses position, and will be dissolved over the term of 10 years pro rata temporis and shown as interest income. The total amount of unpaid leasing liabilities which were transferred to other corporations by agreements for the assumption of debts, respectively swap agreements, is shown as a contingent liability. The assets sold and leased back are continued to be shown and depreciated as fixed assets by reason of the continuing economic ownership.

Participating interests in associated corporations are valued in principle at cost, if they have neither been eliminated through full consolidation nor revalued according to the equity method. Interest-bearing long-term loans and other securities are valued at cost, non-interest-bearing long-term loans at net present value.

Extraordinary depreciation is taken if the market value is lower than the book value on the balance sheet date and the reduction in value is likely to be of a permanent nature. In the 1998 business year, no extraordinary depreciation regarding shares in associated enterprises and of participating interests was taken in the consolidated accounts.

#### **Current assets**

Inventories are valued at the lower of cost (production or acquisition cost) or market value.

Write-offs were necessitated in particular by lower stock market or market prices on the balance sheet date, obsolescence and excessively long inventory periods.

Services rendered, not yet chargeable, are reported at production cost. Production costs comprise direct material and direct labor costs, as well as prorated material and production overhead.

Receivables and other assets are reported at their nominal value, unless in case of foreseeable individual risk the lower attributable value is chosen. General credit risks are covered by a lump-sum allowance. Claims falling due at a later date are discounted, if necessary.

Receivables in foreign currencies are valued at the buying rate on the date of creation or on the balance sheet date, whichever is lower. Roaming receivables are valued at the making up rate of the special drawing rights or at the lower buying rate on the balance sheet date. Receivables in currencies participating in the European Monetary Union were valued at the fixed Euro conversion rates. Both exchange losses as well as exchange gains were allocated to results.

Marketable securities forming part of current assets are valued at the lower of cost or market price on the balance sheet date. In 1997, extraordinary depreciation in the amount of TATS 898 was taken.

Prepaid expenses and financing commissions already accounted for in the opening balance sheet were activated in the prepaid expenses and deferred charges position; these items will be allocated to results over their respective terms.

#### **Accruals and Provisions**

The accruals for severance payments are set up to cover statutory and contractual employee claims. They are valued in accordance with actuarial principles, on the basis of the "entry age normal method" (Teilwertverfahren), with an imputed interest rate of 4% and a fluctuation discount of 3%.

The accruals for pensions to meet obligations to the former employees of Datakom Austria AG were calculated according to actuarial principles using an imputed interest rate of 6%, and the "individual level premium method" (Ansammlungsverfahren) for pension expectancies and the "entry age normal method" for supplement recipients.

### 3 List of participating Interests and consolidated Enterprises

List of Corporations in which Telekom Austria AG holds a participating Interest of at least 20%

| Business Name and corporate Seat of the Corporation                                      | Interest as of Dec 31, 1998 in % | Shareholders' Equity as of Dec 31, 1998* in ATS 1,000 | Annual income/ loss in 1998* in ATS 1,000 | Note on Consolidation                                                |
|------------------------------------------------------------------------------------------|----------------------------------|-------------------------------------------------------|-------------------------------------------|----------------------------------------------------------------------|
| <b>Telekom Austria AG</b>                                                                |                                  |                                                       |                                           |                                                                      |
| <b>Participating Interests in Sub-Group Enterprises</b>                                  |                                  |                                                       |                                           |                                                                      |
| Mobilkom Austria AG, Vienna                                                              | 75.0%                            | 14,109,995                                            | 1,958,752                                 | Full consolidation                                                   |
| Datakom Austria GmbH, Vienna                                                             | 100.0%                           | 880,316                                               | 257,599                                   | Full consolidation                                                   |
| Österreichische Fernmeldetechnische Entwicklungs- und Förderungsgesellschaft mbH, Vienna | 100.0%                           | 3,577                                                 | 2,044                                     | Non-consolidated in accordance with sec. 249 para. 2 Commercial Code |
| Radio Austria Audiotex GmbH                                                              | 100.0%                           | 5,870                                                 | 2,144                                     | Full consolidation                                                   |
| Highway 194 Internet Vertriebs GmbH, Vienna                                              | 51.0%                            | 427                                                   | -14,573                                   | Full consolidation                                                   |
| Datakom Informationsservice GmbH, Vienna                                                 | 100.0%                           | 8,980                                                 | 12,720                                    | Full consolidation                                                   |
| <b>Participating Interests in associated Enterprises</b>                                 |                                  |                                                       |                                           |                                                                      |
| Herold Business Data AG, Mödling                                                         | 26.0%                            | 23,934                                                | 22,123                                    | Included as an affiliated corporation                                |
| Tirolnet Vertriebsgesellschaft mbH, Innsbruck                                            | 50.0%                            | 2,446                                                 | 153                                       | Non-consolidated in accordance with sec. 263 para. 2 Commercial Code |
| <b>Mobilkom Austria AG</b>                                                               |                                  |                                                       |                                           |                                                                      |
| <b>Participating Interests in associated Enterprises</b>                                 |                                  |                                                       |                                           |                                                                      |
| Sinergy, Telecommunications Company Ltd, Ljubljana                                       | 45.0%                            | **                                                    | **                                        | Non-consolidated in accordance with sec. 249 para. 2 Commercial Code |
| VIP-Net GSM d.o.o., Zagreb                                                               | 30.0%                            | -18,270                                               | -18,309                                   | Non-consolidated in accordance with sec. 249 para. 2 Commercial Code |

\* respectively as at the end of the financial year in question.

\*\*No results were available at the time of the preparation of the financial statements.

#### 4 Fixed assets

Property, plant and equipment includes real property with a value of TATS 891,954.

Loans with a remaining term of up to one year amount to TATS 10,560.

#### 5 Receivables and other Assets

| ATS 1,000                            | Dec 31, 1998      |                  | Jan 1, 1998       |                  |
|--------------------------------------|-------------------|------------------|-------------------|------------------|
|                                      | up to 1 year      | more than 1 year | up to 1 year      | more than 1 year |
| Remaining term to maturity           |                   |                  |                   |                  |
| Trade accounts receivable            | 8,905,164         | 0                | 7,965,673         | 0                |
| Receivables – group enterprises      | 4,511,411         | 0                | 395,272           | 800              |
| Receivables – affiliated enterprises | 100,368           | 0                | 14,756            | 0                |
| Other receivables and assets         | 2,092,805         | 171,797          | 2,719,799         | 700              |
|                                      | <b>15,609,748</b> | <b>171,797</b>   | <b>11,095,500</b> | <b>1,500</b>     |

As of year end, lump-sum valuation adjustments of trade accounts receivable in the amount of TATS 143,557 (January 1: TATS 181,969) were carried out within the Sub-Group.

The receivables due from Sub-Group enterprises and affiliate enterprises consist primarily of other receivables.

## 6 Shareholders' Equity

The development of shareholders' equity is as follows:

| ATS 1,000                                     | Capital stock     | Additional paid-in capital | Net result       | Reserves from retained earnings | Minority interests | Total             |
|-----------------------------------------------|-------------------|----------------------------|------------------|---------------------------------|--------------------|-------------------|
| <b>Jan 1, 1998</b>                            | <b>15,000,000</b> | <b>16,226,705</b>          | <b>7,610,607</b> | <b>3,929,517</b>                | <b>3,207,939</b>   | <b>45,974,768</b> |
| Distribution for the 1997 business year       | 0                 | 0                          | -2,800,000       | 0                               | -170,007           | -2,970,007        |
| Annual income 1998                            | 0                 | 0                          | 5,778,198        | 0                               | 482,567            | 6,260,765         |
| Minority interests from capital consolidation | 0                 | 0                          | 0                | 0                               | 7,350              | 7,350             |
| Transfer to reserves from retained earnings   | 0                 | 0                          | -2,017,104       | 2,017,104                       | 0                  | 0                 |
| <b>Dec 31, 1998</b>                           | <b>15,000,000</b> | <b>16,226,705</b>          | <b>8,571,701</b> | <b>5,946,621</b>                | <b>3,527,849</b>   | <b>49,272,876</b> |

Telekom Austria AG has a capital stock of ATS 15,000,000,000 consisting of 1,500,000 bearer shares with a par value of ATS 10,000.00 each. Following the sale of 25% and one share to STET International Netherlands NV, Amsterdam, the capital stock is held by the following shareholders:

| ATS 1,000                                                    | Capital stock     |
|--------------------------------------------------------------|-------------------|
| Post und Telekom Austria AG, Vienna                          | 11,249,990        |
| STET International Netherlands NV,<br>Amsterdam, Netherlands | <u>3,750,010</u>  |
|                                                              | <b>15,000,000</b> |

The Sub-Group's reserves from retained earnings include the annual results of the fully consolidated subsidiaries and the consolidation impact on results. Untaxed reserves shown in the individual financial statements are included after deduction of deferred taxes in the reserves from retained earnings.

The minority interests are as follows:

| ATS 1,000                                         | Dec 31, 1998     | Jan 1, 1998      |
|---------------------------------------------------|------------------|------------------|
| STET MOBILE HOLDING NV,<br>Amsterdam, Netherlands | 3,527,640        | 3,207,939        |
| Österreichischer Rundfunk (ORF)                   | <u>209</u>       | <u>0</u>         |
|                                                   | <b>3,527,849</b> | <b>3,207,939</b> |

STET MOBILE HOLDING NV, Amsterdam, since the purchase of 25% of the stock of Mobilkom Austria AG, holds an interest in the capital stock of the Telekom Austria AG Sub-Group. In the 1998 business year, the shares of STET changed, by the payment of dividends for the previous business year in the amount of TATS 170,007 on the one hand, and by the share in the annual result of Mobilkom Austria AG in the amount of TATS 489,708 on the other hand.

Since the incorporation of Highway 194 Internet Vertriebs GmbH, the ORF holds an interest in the capital of the Sub-Group in the amount of TATS 7,350 (49%). By reason of the negative annual result of Highway, the minority interests from the capital consolidation decreased by TATS 7,141.

The consolidated profit was adjusted to the profit of Telekom Austria AG by the allocation to reserves from retained earnings in the amount of TATS 2,017,104.

## 7 Accruals

The accruals for taxes of the Telekom Sub-Group concern deferred taxes in the amount of TATS 749,490 (January 1, 1998 TATS 839,102).

Other accruals consist of the following:

| ATS 1,000                                                     | Dec 31, 1998     | Jan 1, 1998      |
|---------------------------------------------------------------|------------------|------------------|
| Social benefits in connection<br>with personnel restructuring | 1,941,115        | 2,278,380        |
| Anniversary bonuses                                           | 925,507          | 883,687          |
| Discounts to major customers                                  | 852,854          | 570,596          |
| Restructuring expenses                                        | 708,026          | 810,426          |
| Open vacation entitlements                                    | 590,024          | 565,206          |
| Other items less than TATS 500,000                            | 470,634          | 803,815          |
|                                                               | <b>5,488,160</b> | <b>5,912,110</b> |

In the 1997 business year, the accrual set up for restructuring measures in the context of the opening balance sheet of Post und Telekom Austria AG as of May 1, 1996, was concretized by the measures of the social plan, and is now continued in this amount as an individual accrual. Accruals are formed for the costs of the actual utilization by the respective employees, including all collateral costs.

## 8 Liabilities

| ATS 1,000                  | Dec 31, 1998      |                               |                   | Jan 1, 1998      |                               |                   |
|----------------------------|-------------------|-------------------------------|-------------------|------------------|-------------------------------|-------------------|
| Remaining term to maturity | up to 1 year      | more than 1 and up to 5 years | more than 5 years | up to 1 year     | more than 1 and up to 5 years | more than 5 years |
| Bonds                      | 210,672           | 4,931,000                     | 2,075,000         | 760,904          | 5,780,000                     | 2,375,000         |
| Liabilities to banks       | 5,667,422         | 15,813,695                    | 16,107,738        | 2,079,449        | 17,144,952                    | 22,149,122        |
| Prepayments received       | 6,110             | 0                             | 0                 | 1,105            | 0                             | 0                 |
| Trade accounts payable     | 5,253,229         | 3,137                         | 0                 | 5,329,884        | 0                             | 0                 |
| Accounts payable           |                   |                               |                   |                  |                               |                   |
| – Sub-Group enterprises    | 3,555,746         | 0                             | 0                 | 12,361           | 0                             | 0                 |
| Other liabilities          | 572,858           | 430,436                       | 29,810            | 701,100          | 436,977                       | 52,777            |
|                            | <b>15,266,037</b> | <b>21,178,268</b>             | <b>18,212,548</b> | <b>8,884,803</b> | <b>23,361,929</b>             | <b>24,576,899</b> |

Other liabilities include:

| ATS 1,000                                           | Dec 31, 1998   |                               |                   | Jan 1, 1998    |                               |                   |
|-----------------------------------------------------|----------------|-------------------------------|-------------------|----------------|-------------------------------|-------------------|
| Remaining term to maturity                          | up to 1 year   | more than 1 and up to 5 years | more than 5 years | up to 1 year   | more than 1 and up to 5 years | more than 5 years |
| Other liabilities                                   |                |                               |                   |                |                               |                   |
| thereof: taxes                                      | 109,386        | 0                             | 0                 | 204,589        | 0                             | 0                 |
| thereof: incurred in the context of social security | 53,808         | 4,766                         | 0                 | 54,632         | 0                             | 0                 |
| thereof: other                                      | 409,664        | 425,670                       | 29,810            | 441,879        | 436,977                       | 52,777            |
|                                                     | <b>572,858</b> | <b>430,436</b>                | <b>29,810</b>     | <b>701,100</b> | <b>436,977</b>                | <b>52,777</b>     |

## 9 Liabilities from Guarantees as well as other contractual Liabilities

| ATS 1,000                                 | Dec 31, 1998 | Jan 1, 1998 |
|-------------------------------------------|--------------|-------------|
| Liabilities from Guarantees               | 332,631      | 0           |
| Other contractual Liabilities (us-Leases) | 2,129,953    | 0           |

## 10 Other financial Commitments

| ATS 1,000                                                                                   | Dec 31, 1998 | Jan 1, 1998 |
|---------------------------------------------------------------------------------------------|--------------|-------------|
| Purchase commitments for capital expenditures                                               | 2,980,028    | 3,632,020   |
| Commitments arising from the utilization of off-balance-sheet property, plant and equipment |              |             |
| ... in the next business year                                                               | 562,457      | 530,320     |
| ... in the next five business years (statistical extrapolation)                             | 2,812,285    | 2,651,600   |

## 11 Turnover

| ATS 1,000                        | Jan 1 – Dec 31, 1998 |
|----------------------------------|----------------------|
| Voice Telephony                  | 25,988,325           |
| Mobile Telephony                 | 9,026,786            |
| Merchandise                      | 3,575,268            |
| Roaming and Interconnection      | 3,160,864            |
| Text/Data Services               | 1,906,038            |
| Leased Lines                     | 1,215,552            |
| Coin and pre-paid Card Telephony | 1,199,713            |
| Other                            | 667,115              |
|                                  | <b>46,739,661</b>    |
| - Revenue Curtailment            | -154,563             |
| <b>Turnover of the Sub-Group</b> | <b>46,585,098</b>    |

## 12 Other operating Income

| ATS 1,000                                                 | Jan 1 – Dec 31, 1998 |
|-----------------------------------------------------------|----------------------|
| Income from the disposition of non-financial fixed assets | 45,626               |
| Income from the reversal of accruals remaining            | 281,252              |
|                                                           | <b>1,251,715</b>     |
|                                                           | <b>1,578,593</b>     |

### 13 Cost of Material and other Services purchased

| ATS 1,000                  | Jan 1 – Dec 31, 1998 |
|----------------------------|----------------------|
| Cost of materials          | 2,608,766            |
| Cost of services purchased | <u>5,750,499</u>     |
|                            | <b>8,359,265</b>     |

### 14 Personnel Expenses

Personnel expenses include the following:

| ATS 1,000                                                                                          | Jan 1 – Dec 31, 1998 |
|----------------------------------------------------------------------------------------------------|----------------------|
| Wages                                                                                              | 35                   |
| Salaries                                                                                           | 7,475,213            |
| Expenses for severance payments                                                                    | 48,383               |
| Expenses for pensions                                                                              | 44,070               |
| Expenses for statutory social contributions, and payroll-related taxes and mandatory contributions | 2,000,376            |
| Other expenses for social benefits                                                                 | <u>13,263</u>        |
|                                                                                                    | <b>9,581,340</b>     |

Average number of personnel in the business year:

|                                          | Jan 1 – Dec 31, 1998 |
|------------------------------------------|----------------------|
| Civil servants with tenure               | 14,932               |
| Salaried employees                       | 4,492                |
| Worker                                   | <u>1</u>             |
| Total                                    | <b>19,425</b>        |
| Number of equivalent full-time-employees | 18,720               |

| ATS 1,000                                        | Jan 1 – Dec 31, 1998 |
|--------------------------------------------------|----------------------|
| Remuneration of members of the Management Board  | 5,722                |
| Remuneration of members of the Supervisory Board | <u>1,179</u>         |
|                                                  | <b>6,901</b>         |

## 15 Expenses for Severance Payments and Pension

Expenses for severance payments and pensions are allocated as follows:

| ATS 1,000                   | Jan 1 – Dec 31, 1998 |
|-----------------------------|----------------------|
| Members of Management Board | 245                  |
| Managerial employees        | 4,464                |
| Other employees             | 95,621               |
|                             | <b>100,330</b>       |

## 16 Amortization and Depreciation

The fixed assets of Telekom Austria AG as well as of Mobilkom Austria AG include input taxes, which have been depreciated in the business year in the amount of TATS 1,243,161. The refund of input tax according to sec. 12 paragraphs 10 and 11 "Umsatzsteuergesetz" (Turnover Tax Act) is charged against the depreciation in the same amount.

Extraordinary depreciation in the amount of TATS 52,192 was required.

The details of the depreciation can be found in the "Development of Fixed Assets" printed before the Notes.

## 17 Other operating expenses

| ATS 1,000                          | Jan 1 – Dec 31, 1998 |
|------------------------------------|----------------------|
| Other taxes relating to operations | 147,171              |
| Other items                        | 7,386,572            |
|                                    | <b>7,533,743</b>     |

## 18 Income from participating Interests

Of the income from participating interests, TATS 17,134 are allocated to distributions of international satellite organizations, in which participating interests are held.

## 19 Other Interest and similar Income

Other interest and similar income results essentially from the short-term investment of excess liquidity.

## 20 Expenses arising from financial Assets and current assets' Securities

The expenses arising from financial assets and current assets' securities contain write-offs in the amount of TATS 1,453.

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## 21 Interest and similar Expenses

Interest and similar expenses result essentially from interest for bonds and the liabilities toward banks.

---

## 22 Taxes on Income

|                 |                      |
|-----------------|----------------------|
| ATS 1,000       | Jan 1 – Dec 31, 1998 |
| Taxes on income | 2,363,455            |
| Deferred taxes  | <u>-102,662</u>      |
|                 | <b>2,260,793</b>     |

Taxes on income regard essentially corporation tax expenses for the 1998 business year.

## 23 Members of the Management Board and the Supervisory Board

### Management Board

|                                     |                                                  |
|-------------------------------------|--------------------------------------------------|
| Ing Dr jur Josef Sindelka           | (Chief Executive Officer) until October 31, 1998 |
| Dr Johannes Ditz                    | until October 31, 1998                           |
| Gerhard Martinek                    | until July 23, 1998                              |
| DI Dr Walther Richter               | until October 19, 1998                           |
| Senator h.c. KR Ing Werner Kasztler | (Chief Executive Officer) since November 1, 1998 |
| Dr Alberto Mazzarelli               | since December 22, 1998                          |
| Ing Mag Rudolf Fischer              | since November 1, 1998                           |
| Dr Claudio Albanese                 | since December 22, 1998                          |

### Supervisory Board

|                           |                                                            |
|---------------------------|------------------------------------------------------------|
| KR Dkfm Karl Hollweger    | (Chairman of the Supervisory Board) until October 31, 1998 |
| Ing Dr jur Josef Sindelka | (Chairman of the Supervisory Board) since November 1, 1998 |
| KR Dkfm Dr Erich Becker   | (Deputy Chairman of the Supervisory Board)                 |
| Prof DI Dr Ernst Bonek    | until July 23, 1998                                        |
| Ing Oicare Cicchetti      | since December 22, 1998                                    |
| Dkfm Helmuth Hamming      | until July 23, 1998                                        |
| DI Dr Günther Hillebrand  | until July 23, 1998                                        |
| Dr Peter Kamp             | until July 23, 1998                                        |
| KR Kurt Kaun              | until July 23, 1998                                        |
| Mag Werner Muhm           |                                                            |
| Dr Claus J. Raidl         |                                                            |
| Dr Günther Scholz         | until July 23, 1998                                        |
| Ing Maurizio Stecco       | since December 22, 1998                                    |
| Dr Josef Taus             |                                                            |
| Gerhard Zeiler            |                                                            |
| Hans Billeth              |                                                            |
| Hans Georg Dörfner        | until July 23, 1998                                        |
| Franz Hnatisko            | until July 23, 1998                                        |
| Helmut Hospodar           | since July 23, 1998                                        |
| Ing Karl-Heinz Muik       |                                                            |
| Herbert Podany            | until July 23, 1998                                        |
| Robert Sulzbacher         | since December 22, 1998                                    |
| Robert Wurm               | until July 23, 1998                                        |

Vienna, April 29, 1999

### The Management Board

|                                                                |                                                |
|----------------------------------------------------------------|------------------------------------------------|
| Senator h.c. KR Ing Werner Kasztler<br>Chief Executive Officer | Dr Alberto Mazzarelli<br>Deputy CEO            |
| Ing Mag Rudolf Fischer<br>Chief Technical Officer              | Dr Claudio Albanese<br>Chief Marketing Officer |

### **Auditors' Opinion**

In the course of our audit we did not discover facts which would result in a qualified opinion.

Therefore, we render the following unqualified opinion according to Article 274 section 1 HGB (Austrian Commercial Code) on the financial statements for the fiscal year ended December 31, 1998 of Telekom Austria AG, Vienna, Austria.

“As the result of our due audit we can certify that the accounting records and the consolidated financial statements comply with the legal regulations. The consolidated financial statements give a true and fair view of the Company's and group's assets, the liabilities, financial position and earning position in conformity with generally accepted accounting principles. The management report corresponds with the consolidated financial statements.”

Vienna, April 29, 1999

KPMG Austria  
Wirtschaftsprüfungs-Gesellschaft mbH

Grant Thornton – Jonasch & Platzer  
Wirtschaftsprüfungs- und Steuerberatungs-оHG

DDr Martin Wagner    Mag Dr Johann Perthold  
Beeidete Wirtschaftsprüfer und Steuerberater

Univ Doz Dr Walter Platzer    ppa Mag Josef Töglhofer  
Beeidete Wirtschaftsprüfer und Steuerberater

### Report of the Supervisory Board

The Supervisory Board constituted itself and took up its work at the meeting on July 23, 1998. At the Supervisory Board meetings, it was informed by the Management Board in writing and orally concerning the economic and financial position of the enterprise, the business policy and the development of the course of business. Particular attention was paid to the implemented restructuring measures, the course of the search for a strategic partner for Telekom Austria AG, as well as the strategic orientation of the Sub-Group and the security of its competitiveness.

The Supervisory Board respectively its committees passed, among others, the following resolutions:

- Approval of the pro forma annual financial statements of Telekom Austria AG regarding the 1997 business year
- Appointment of the Management Board of Telekom Austria AG
- Passing rules of procedure for the Supervisory Board and the Management Board

The Supervisory Board was presented the annual financial statements of Telekom Austria AG and of the Telekom Austria Sub-Group as of Dec 31, 1998 by the Management Board. The annual financial statements of Telekom Austria AG and the consolidated financial statements were audited and certified without reservation by KPMG Austria Wirtschaftsprüfungsgesellschaft mbH and Grant Thornton – Jonasch & Platzer Wirtschaftsprüfungs- und Steuerberatungs-OHG. The management report is consistent with the annual financial statements and the consolidated financial statements.

The Supervisory Board approves the 1998 annual financial statements, which are approved thereby in accordance with sec. 125 para. 2 "Aktiengesetz" (Stock Corporation Act).

Further, the Supervisory Board approves consolidated financial statement and the Sub-Group's management report prepared in accordance with sec. 244 Commercial Code.

The Supervisory Board recommends to the shareholders' meeting to approve the annual financial statements as of December 31, 1998 submitted by the Management Board and to approve the actions taken by the Management Board members. It agrees with the proposal of the Management Board to effect a distribution in the amount of TATS 4,578,000 and to carry forward the remaining profit to new account.

9 June, 1999 Ing Dr Josef Sindelka  
Chairman of the Supervisory Board

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**English translation**

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of discrepancies, the German  
version is binding.

## The financial Data of Telekom Austria at a Glance

| Financing                            | 1998<br>ATS millions |
|--------------------------------------|----------------------|
| Cash-flow from the result            | 19,923               |
| Cash-flow from operating activities  | 19,294               |
| Cash-flow from investment activities | -12,295              |
| Cash-flow from financing activities  | -8,495               |
| Cash-flow from VAT adjustment        | 1,496                |
| Change in cash                       | 0                    |
| Capital expenditure (Capex)          | 12,407               |

| Reference numbers                                      | Dec 31, 1998<br>in % | Jan 1, 1998<br>in % |
|--------------------------------------------------------|----------------------|---------------------|
| Fixed assets/Total assets                              | 84.1                 | 88.2                |
| Debt/Total capital                                     | 56.4                 | 58.5                |
| Equity/Total assets                                    | 43.6                 | 41.5                |
| Shareholders' equity + long-term debt/<br>Fixed assets | 95.6                 | 98.4                |
| Working capital ratio                                  | 81.0                 | 89.3                |
| Capital employed (ATS millions)                        | 96,263               | 98,823              |

| Reference numbers                                                                | 1998   |
|----------------------------------------------------------------------------------|--------|
| Cash-flow/Investments                                                            | 1.6    |
| Result from ordinary business<br>activities on sales (in %)                      | 24.6   |
| EBIT/Average Total Capital (in %)                                                | 10.2   |
| Result from ordinary business activities/<br>Average Shareholders' equity (in %) | 17.9   |
| Investments/Depreciation (in %)                                                  | 94.3   |
| ROI (Return on Investment) (in %)                                                | 10.2   |
| EBIT (ATS millions)                                                              | 11,483 |
| EBITD (ATS millions)                                                             | 24,642 |
| ROCE (in %)                                                                      | 11.9   |
| ROE (in %)                                                                       | 13.6   |

## The financial Data of Telekom Austria at a Glance<sup>1)</sup>

| Assets and capital                                                     | Change 1998   |              | Dec 31, 1998   |              | Jan 1, 1998    |              |
|------------------------------------------------------------------------|---------------|--------------|----------------|--------------|----------------|--------------|
|                                                                        | ATS millions  | in %         | ATS millions   | in %         | ATS millions   | in %         |
| <b>Fixed assets</b>                                                    | <b>-2,697</b> | <b>-2.8</b>  | <b>95,082</b>  | <b>84.1</b>  | <b>97,779</b>  | <b>88.2</b>  |
| Intangible fixed assets                                                | -504          | -3.8         | 12,765         | 11.3         | 13,269         | 12.0         |
| Property, plant and equipment                                          | -2,281        | -2.7         | 81,983         | 72.6         | 84,264         | 76.1         |
| Financial assets                                                       | 88            | 35.9         | 334            | 0.3          | 246            | 0.2          |
| <b>Current assets, prepaid expenses and accrued and deferred items</b> | <b>4,895</b>  | <b>37.6</b>  | <b>17,915</b>  | <b>15.9</b>  | <b>13,019</b>  | <b>11.8</b>  |
| Inventory                                                              | 228           | 14.8         | 1,765          | 1.6          | 1,538          | 1.4          |
| Receivables                                                            | 4,685         | 42.2         | 15,782         | 14.0         | 11,097         | 10.0         |
| Liquid funds and current assets' securities                            | 0             | -0.3         | 79             | 0.1          | 79             | 0.1          |
| Prepaid expenses and deferred charges                                  | -17           | -5.4         | 289            | 0.3          | 306            | 0.3          |
| <b>Long-term current assets</b>                                        | <b>172</b>    | <b>-</b>     | <b>172</b>     | <b>0.2</b>   | <b>0</b>       | <b>0.0</b>   |
| <b>Short-term current assets</b>                                       | <b>4,723</b>  | <b>36.3</b>  | <b>17,743</b>  | <b>15.7</b>  | <b>13,019</b>  | <b>11.8</b>  |
| <b>Shareholders' equity</b>                                            | <b>3,298</b>  | <b>7.2</b>   | <b>49,273</b>  | <b>43.6</b>  | <b>45,975</b>  | <b>41.5</b>  |
| <b>Debt capital</b>                                                    | <b>-1,100</b> | <b>-1.7</b>  | <b>63,724</b>  | <b>56.4</b>  | <b>64,824</b>  | <b>58.5</b>  |
| Accruals                                                               | 279           | 3.5          | 8,147          | 7.2          | 7,868          | 7.1          |
| Financial liabilities                                                  | -5,484        | -10.9        | 44,806         | 39.7         | 50,289         | 45.4         |
| Trade accounts payable                                                 | -74           | -1.4         | 5,256          | 4.7          | 5,330          | 4.8          |
| Other liabilities, and deferred income and accrued expense             | 4,179         | 312.7        | 5,515          | 4.9          | 1,336          | 1.2          |
| <b>Long-term debt capital</b>                                          | <b>-8,634</b> | <b>-17.2</b> | <b>41,609</b>  | <b>36.8</b>  | <b>50,243</b>  | <b>45.3</b>  |
| <b>Short-term debt capital</b>                                         | <b>7,534</b>  | <b>51.7</b>  | <b>22,115</b>  | <b>19.6</b>  | <b>14,581</b>  | <b>13.2</b>  |
| <b>Balance sheet total</b>                                             | <b>2,198</b>  | <b>2.0</b>   | <b>112,997</b> | <b>100.0</b> | <b>110,799</b> | <b>100.0</b> |

| Earning position                                   | 1998           |              |
|----------------------------------------------------|----------------|--------------|
|                                                    | ATS millions   | in %         |
| Turnover                                           | 46,585         | 93.0         |
| Change in inventory and other capitalized own work | 1,926          | 3.8          |
| Other operating income                             | 1,579          | 3.2          |
| <b>Operating performance</b>                       | <b>50,090</b>  | <b>100.0</b> |
| Cost of materials                                  | 8,359          | 16.7         |
| Personnel expenses                                 | 9,581          | 19.1         |
| Depreciation and amortization                      | 13,159         | 26.3         |
| Other operating expenses                           | 7,534          | 15.0         |
| <b>Operating expenses</b>                          | <b>-38,633</b> | <b>-77.1</b> |
| <b>Operating result</b>                            | <b>11,457</b>  | <b>22.9</b>  |
| Result from participating interests and securities | 27             | 0.1          |
| Result from Interest                               | -2,962         | -5.9         |
| <b>Financial result</b>                            | <b>-2,935</b>  | <b>-5.9</b>  |
| <b>Result from ordinary business activities</b>    | <b>8,522</b>   | <b>17.0</b>  |
| Taxes                                              | -2,261         | -4.5         |
| <b>Group's net income for the year</b>             | <b>6,261</b>   | <b>12.5</b>  |

<sup>1)</sup> By reason of the use of automated calculation aides, calculation differences may occur in connection with the addition of rounded amounts and percentages